

BEFORE THE  
FEDERAL MARITIME COMMISSION

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DOCKET NO. 24-17

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SAMSUNG ELECTRONICS AMERICA, INC.,  
*Complainant,*

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED AND OOCL  
(EUROPE) LTD.  
*Respondents*

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**SEA’S APPEAL OF THE ORDER DENYING PETITION FOR ATTORNEYS’ FEES**

Complainant Samsung Electronics America, Inc. (“Complainant” or “SEA”), by its undersigned counsel, pursuant to 46 C.F.R. §§ 502.254(h) and 502.227(a), hereby respectfully submits its limited appeal of the Order of Administrative Law Judge (“ALJ” or Judge) Richard Ambrow dated March 20, 2026 (Doc. No. 126; the “Order”), which denied SEA’s Petition for Attorneys’ Fees (Doc No. 108; the “Petition”) and SEA’s Motion to Supplement its Petition for Attorney Fees (Doc No. 110; the “MTS”) against Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “Respondents” or “OOCL”).

**I. INTRODUCTION**

The Order’s central holding is:

Because the counterclaim and third-party complaint were unsupported by any legal authority, and lacked factual support, I would be inclined to find that its allegations were frivolous or objectively unreasonable but for the fact that the Commission stated that OOCL was “entitled” to file an

amended complaint ... because the Commission concluded that an amended counterclaim (and, by extension, an amended third-party complaint) would not necessarily be futile, I cannot find that OOCL's counterclaim or OOCL's third-party complaint were frivolous, baseless, or objectively unreasonable.

Along the same lines, I would be inclined to find improper motivation for the counterclaim and third-party complaint but for the Commission's remand. ... (Order at 13)

Thus, Judge Ambrow concluded that he was constrained from awarding fees without further instruction from the Federal Maritime Commission because the Federal Maritime Commission (the "Commission") had given OOCL leave to amend its frivolous counterclaim and attempt to state a plausible claim, even though he found that both OOCL's original counterclaim and its amended counterclaim were frivolous, objectively unreasonable, and based on an improper motive. SEA respectfully submits that the Commission should issue a robust order reaffirming that when a party is given an opportunity to replead, if it decides to do so, it must do so responsibly or face the consequences of wasting the resources of the ALJs, the Commission, and the opposing party.

Following the Congressional amendment of the Shipping Act's attorney fee statute in 2014, and the Commission's corresponding amendment of its regulations,<sup>1</sup> the Commission issued its *Statement of the Commission On Attorney Fees*, Dkt. 21-14, 2021 WL 9204127 (FMC, Dec. 28, 2021) (the "Policy Stmt") to make clear the Commission's position on attorney fees. More recently, the Commission in its decision in *Bakerly, LLC v. SeaFrigo USA Inc.*, Dkt. No. 22-17, 2026 WL 254020, at \*1 (FMC, Jan. 22, 2026)), provided further context to its Policy Stmt.

The statute, regulation, guidance, and precedent all provide that fees awards are permitted precisely to address egregious and unreasonable conduct such as OOCL's in this matter. As

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<sup>1</sup> *Howard Coble Coast Guard & Marine Transp. Act of 2014*, Pub. L. No. 113-281, §402, 128 Stat. 3022, 3056; 46 U.S.C. § 41305(e); 46 C.F.R. § 502.254

detailed more fully in the Order, Respondents filed an objectively meritless counterclaim without any factual or legal support as retaliation or in an attempt to generate some degree of leverage or delay against SEA in its Shipping Act Complaint brought against OOCL for its unreasonable practices and policies. OOCL appealed the dismissal with prejudice of its counterclaim, and upon the Commission's granting of a skeptical leave to amend, filed an amended counterclaim that had "the same fundamental problems as the original pleadings" by being "founded upon the existence of a dispute about the fees that OOCL charged SEA, which is the same dispute that underlies SEA's facially valid [amended complaint]" (Doc. No. 98 at 13). Just like the fatally-flawed original counterclaim, the amended counterclaim was dismissed for failure to allege an objectively plausible claim.

The Commission's courteous procedural accommodation, which was itself based on representations made by OOCL that were not subsequently fulfilled in its amended pleading, cannot immunize Respondents from fee liability otherwise plainly merited by OOCL's frivolous pleadings, improper motivation, objective unreasonableness, and litigation misconduct. OOCL was given an opportunity to articulate a colorable claim, despite the Commission's skepticism, and yet it was unable to do so. Every adjudicator who has reviewed OOCL's counterclaim or Amended Counterclaim has found the pleadings to be meritless and legally untenable.

Accordingly, SEA respectfully requests that Commission amend the Order to (1) clarify that the Commission's granting of leave to amend does not immunize OOCL from liability for attorneys' fees or render OOCL's counterclaim non-frivolous; and (2) award SEA the fees it was forced to expend as a consequence of OOCL's improper litigation tactics.

## II. PROCEDURAL BACKGROUND

### A. SEA's Verified Complaint and Verified Amended Complaint

SEA filed its Verified Complaint against OOCL challenging its demurrage and detention practices on March 26, 2024. It did so after it was unable to otherwise resolve its dispute with OOCL concerning OOCL's practice of charging SEA demurrage for delays incurred by OOCL's own failures to timely deliver containers it carried on store-door terms, and for its wrongful assessment of detention charges. On May 13, 2024, OOCL moved to dismiss the Complaint in its entirety. The ALJ dismissed two counts of SEA's Complaint (alleging retaliation and refusal to deal) but sustained the remaining four counts for unreasonable practices (two counts), unreasonable charges, and non-compliant invoices. (Doc. No. 16). Judge Chintella ordered SEA to file a Verified Amended Complaint ("VAC"), which it did on December 2, 2024. (Doc. No. 17).

### B. OOCL's Counterclaim and Original Dismissal

OOCL's Answer to SEA's VAC, filed on December 12, 2024, included a counterclaim alleging that SEA had violated 46 U.S.C. § 41102(a) by using an "unjust or unfair device or means" to obtain ocean transportation at less than applicable rates. Judge Chintella granted SEA's Motion to Dismiss the Counterclaim with prejudice on March 31, 2025, finding that OOCL's theory "cannot, *as a matter of law*, result in violation of § 41102(a)." (Doc. No. 38 at 4)(emphasis added). Judge Chintella noted that OOCL had cited "no authority for the unlikely proposition that a facially valid complaint to recover overcharges (in a Shipping Act case or otherwise) constitutes fraud," and that "[t]here is simply no way, as a matter of law, that a facially legitimate dispute before the Commission can result in a complainant obtaining ocean transportation at less than applicable rates for purposes of § 41102(a)." (Doc No. at 3, 5). He also denied OOCL leave to amend, finding that amendment would be futile. (Doc No. at 6). Judge Chintella's ruling was prescient.

### **C. OOCL's Appeal and the Commission's July 30 Order**

OOCL appealed Judge Chintella's ruling to the Commission. (Doc. No. 41). On July 30, 2025, the Commission affirmed the Counterclaim's dismissal, agreeing that SEA's pursuit of a facially valid complaint "cannot constitute an 'unfair device' or an effort to obtain less than applicable rates under the statute"; that SEA's pre-suit demand for the return of unlawfully collected demurrage and detention did not give rise to a plausible § 41102(a) claim; and that OOCL's speculative allegation that SEA's parent entity had concealed its understanding of its service agreement with OOCL, would, even if true, amount to at most a "disagreement about legal matters, which is not sufficient to support a section 41102(a) claim." (Doc. No. 66 at 10-11, 15, 16, and 19).

After making those findings, the Commission granted OOCL leave to amend to give OOCL an opportunity to allege a plausible claim. The Commission cautioned that OOCL's allegations did not appear to present a plausible claim under section 41102(a) and also noted that any amendment would need to allege facts comparable to the fraud or concealment theory under Commission precedent. (Doc. No. 66 at 20-21). The Commission granted OOCL leave on the basis that its Brief had indicated that it had allegations it failed to include in its original counterclaim:

We note that even if the counterclaim did contain the allegations OOCL makes in its brief, it is not evident that they would present the kind of fraud or concealment required to allege an "unfair device" under section 41102(a). The cases on which OOCL relies all appeared to involve some type of factual deception or misrepresentation inducing a carrier to carry or release cargo.

\* \* \*

Here, OOCL's brief appears to be alleging that SEA had a secret plan to get lower rates by making a type of service contract under which it would be legally responsible for the type of delays at issue. Then, under this alleged plan, SEA would evidently cause or at least permit such delays to occur, and even pay OOCL the resulting late fees, but would later demand unjustified refunds based on the

incorrect claim that OOCL was responsible for the delays. Even that scenario seems less like the kind of fact-based fraud or concealment seen in successful cases and more akin to a disagreement about legal matters, which is not sufficient to support a section 41102(a) claim.

This is OOCL's first request to amend in this case. And as explained above, although it is not evident that the additional conduct OOCL has described [in its earlier brief] would present a plausible claim under section 41102(a), it is also not clear that such an amendment would necessarily be futile." (Order at 20-21)

(Doc. No. 66 at 18-19, 21).

The Commission thereby allowed OOCL to attempt to state a claim based on the representations it had made in its opposition to the Motion to Dismiss the original Counterclaim, but called OOCL's attention to the specific requirements to state a plausible claim under section 41102(a).

#### **D. OOCL's Amended Counterclaim and Second Dismissal**

On August 13, 2025, OOCL filed its Amended Counterclaim (Doc. No. 69, the "AMCC"). Despite the Commission's admonitions, OOCL's AMCC reasserted the same core theory that that been dismissed by Judge Chintella and the Commission. The AMCC alleged no false billing, false classification, false weighing, false reports of weight, or false measurement, or analogous fraud, or any specifically pleaded misrepresentations. (AMCC ¶¶ 31-33, 45, 64-67). Instead, OOCL again alleged its discredited theory that SEA had somehow, through its parent entity, concealed a different legal interpretation of the relevant service agreement. The AMCC dropped OOCL's prior explicit reference to SEA's initiation of a Complaint to the Commission as an allegedly "unjust or unfair device," but still focused on SEA's demand for a refund of unreasonable demurrage and detention charges and its bringing of that demand to the Commission for resolution as the foundation of its § 41102(a) claim (AMCC at ¶¶ 37-43). In all material aspects, OOCL's AMCC was the same as the original Counterclaim, the dismissal of which had been affirmed by the Commission.

On November 26, 2025, Judge Ambrow dismissed the AMCC and the substantially similar Amended Third-Party Complaint against SEC, (Doc. No. 98 at 1-2, 9-13), finding that the amended pleadings had “the same fundamental problems as the original pleadings,” that additional amendment would be futile, and questioning whether OOCL’s stated intention to continue appealing and delaying the proceedings reflected a dilatory motive. (Doc. No. 98 at 13, n. 10).

#### **E. SEA’s Petition for Attorneys’ Fees and the Order on Appeal**

On January 26, 2026, SEA filed its Petition for Attorneys’ Fees, seeking \$118,765.00 in fees incurred in defending against OOCL’s Counterclaim, its Appeal to the Commission, and its AMCC. (Doc. No. 108). On March 2, 2026, SEA filed its Motion to Supplement (“MTS”) to add the fees incurred in preparing the Petition itself of \$39,950.00. (Doc. No. 122), reflecting a total amount of \$158,715.00 in attorney fees sought by SEA. On March 20, 2026, Judge Ambrow issued the Order denying SEA’s Petition for Attorney Fees, denying SEC’s Petition for Attorney Fees, and denying SEA’s MTS as moot. (Doc. No. 126 at 1-2, 15).

The Order found SEA and SEC to be prevailing parties eligible for a fee award under 46 U.S.C. § 41305(e). In the Conclusion section of the March 20 Order, Judge Ambrow states, “I find that OOCL’s counterclaim and OOCL’s third-party complaint would be **objectively frivolous**, and would appear to be a **procedural delay tactic**, but for the fact that the Commission concluded that it would not be futile to allow OOCL to amend its counterclaim (and, by logical extension, its third-party complaint).” (Order at 15) (emphasis added). Judge Ambrow supported his concluding remarks with the following observations:

- “There is no question that OOCL’s allegation that SEA and SEC violated section 41102(a) was **weak**.” Order at 12 (emphasis added).
- “Thus, **there was no legal basis** for OOCL’s counterclaim or OOCL’s third-party complaint.” *Id.* (emphasis added).

- “OOCL appears to argue that because a large company raised a facially-valid dispute, the large company must have harbored a secret plan all along. **At best, that is a weak factual basis** for OOCL’s claim.” *Id.* at 13 (emphasis added).
- “Because the counterclaim and third-party complaint **were unsupported by any legal authority, and lacked factual support, I would be inclined to find that its allegations were frivolous or objectively unreasonable** but for the fact that the Commission stated that OOCL was “entitled” to file an amended complaint, and that it should be given at least one chance to amend. The Commission also stated that it was not clear that an amended counterclaim (and, by the same logic, an amended third-party complaint) would necessarily be futile.” *Id.* (emphasis added).
- “Along the same lines, **I would be inclined to find improper motivation for the counterclaim and third-party complaint** but for the Commission’s remand.” *Id.* (emphasis added).
- “In light of the weakness of OOCL’s allegations in OOCL’s counterclaim and OOCL’s third-party complaint, even after they were amended, and in light of the fact that two ALJs and the Commission all expressed a dim view of OOCL’s section 41102(a) claims, **one could fairly wonder if the only reason OOCL was pursuing its 41102(a) claims was to delay SEA’s claim from advancing procedurally.** Indeed, in my November 26 Order, I questioned whether **OOCL had a dilatory motive** when OOCL argued that I should allow its AMCC and ATPC to go forward because **OOCL suggested that it would continue to appeal and cause further delays to this proceeding.**” *Id.* (emphasis added).
- “As discussed above, **I would be inclined to agree that OOCL pursued a meritless counterclaim** and third-party complaint but for the fact that the Commission permitted OOCL to amend its counterclaim (and, by logical extension, the substantially similar third party complaint).” *Id.* at 14 (emphasis added).

In sum, Judge Ambrow made statements ranging from “objectively frivolous” to “meritless counterclaim” to describe the OOCL Counterclaim. He nonetheless denied the requested award of fees – solely because the Commission’s July 30, 2025 remand had allowed OOCL leave to file its AMCC to attempt to state a plausible claim. (Doc. No. 126 at 13-15).

### III. LEGAL STANDARD

46 C.F.R. § 502.254 states that the appeal of an award of attorney fees is governed by the procedures in 46 C.F.R § 502.227. 46 C.F.R § 502.227(a)(6) states that the Commission has the same powers that it would have in making the initial decision. Therefore, the standard of review by which the Commission now reviews the ALJ's Order Denying SEA's Petition for Attorney Fees is *de novo*.

46 U.S.C. § 41305(e) of the Shipping Act states that "In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees." (46 U.S.C. § 41305(e)). A party must be both *eligible* and *entitled* to be awarded attorney's fees. (*Bakerly, LLC v. SeaFrigo USA Inc.*, Dkt. No. 22-17, 2026 WL 254020, at \*1 (FMC, Jan. 22, 2026)). To be eligible, a party must be a "prevailing party." (*Id.*, at \*4). To be a "prevailing party," the Commission looks for a "material alteration of the legal relationship of the parties in a manner which Congress sought to promote in the fee statute." (*Statement of the Commission on Attorney Fees* ("Statement"), Dkt. No. 21-14, 3 F.M.C.2d 195, 196, 2021 WL 9204127, at \*2 (FMC, Dec. 28, 2021) (internal citations omitted)).

In determining whether a party is *entitled* to attorney's fees, the Commission considers five factors: (1) if there was a legal and factual basis for the claims, (2) if the filing was motivated by an improper purpose; (3) if the non-prevailing party engaged in litigation misconduct; (4) if the fees are appropriate to deter future baseless filings; and (5) in appropriate cases, if the fee is necessary to make the petitioning party whole. (*Bakerly*, 2026 WL 254020, at \*5). These five factors favor a robust award in support of Complainant.

Further, Complainant notes that judges on the district or trial court level typically have wide discretion in determining a lack of factual basis or improper purpose, because "the district

court has tasted the flavor of the litigation and is in the best position to make these determinations.”  
*Westmoreland v. CBS, Inc.*, 770 F.2d 1168, 1174 (D.C. Cir. 1985).

#### IV. ARGUMENT

##### A. SEA is eligible for attorney fees

In the Order, Judge Ambrow found that SEA was eligible for attorney fees. SEA was ruled to be the “prevailing party” as to OOCL’s Counterclaim and AMCC, and OOCL did not contest that SEA was the prevailing party, thus making SEA eligible for attorney fees, (Order, Doc. No. 126, at 8, 9)<sup>2</sup>.

##### B. SEA is entitled to attorney fees

With respect to the first and second analysis factors for entitlement to attorney fees, a lack of a colorable factual and legal basis for the claim and motivation by an improper purpose, the Order found that OOCL’s Counterclaim and AMCC had “no legal basis” nor “any factual support” (Order at 12), and lacked “legal authority” (Order at 13) for its claims, with the Judge stating that he:

“would be inclined to find that its allegations were frivolous or objectively unreasonable but for the fact that the Commission stated that OOCL was “entitled” to file an amended complaint, and that it should be given at least one chance to amend. The Commission also stated that it was not clear that an amended counterclaim (and, by the same logic, an amended third-party complaint) would necessarily be futile. Accordingly, because the Commission concluded that an amended counterclaim (and, by extension, an amended third-party complaint) would not necessarily be futile, I cannot find that OOCL’s counterclaim or OOCL’s third-party complaint were frivolous, baseless, or objectively unreasonable.” (Order at 13)

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<sup>2</sup> “I find that SEA is a “prevailing party.”; “...because OOCL does not contest that SEA is the prevailing party as to the Counterclaim/AMCC, I find that the provisions of section 41305(e) apply, and that SEA is a “prevailing party” as to OOCL’s counterclaim.”; “Accordingly, I find that both SEA and SEC are “prevailing parties,” and are eligible for an award of attorney’s fees.”

These are the strongest possible findings by a decider of fact on the trial court level in assessing pleadings and litigation comportment. The first two factors weigh heavily in favor of SEA, and for good reason. On three separate instances, the factual and legal basis of OOCL's claims was found lacking and fees should be awarded. Respondents' behavior clearly reflects their intent to improperly pressure Complainant to back off of its pursuit of reparations by threatening SEA and its corporate family of companies with frivolous litigation to compel them to expend even more time, attention, and money than is necessary in litigation. OOCL's clear intention was to cut short litigation and/or deter future actions through an aggressive and unfounded counterclaim. Such conduct should not be countenanced, and the only way to acknowledge the wrongful conduct is with a robust finding of these two factors decidedly in favor of SEA.

**C. Leave to amend did not render OOCL's counterclaims non-frivolous, or its conduct less improper**

Judge Ambrow's findings are much the same with respect to the third factor – litigation misconduct. Judge Ambrow ruled that he would find litigation misconduct, but for the Commission's grant of leave to amend, stating: "I would be inclined to agree that OOCL pursued a meritless counterclaim and third-party complaint but for the fact that the Commission permitted OOCL to amend its counterclaim (and, by logical extension, the substantially similar third-party complaint)" (Order at 14). The Order goes on to note that, in particular, Judge Ambrow had additional concerns about OOCL's related misconduct in discovery (Order at 14, fn 4).

Judge Ambrow's Order asserted that, weighing the factors, he would find that OOCL's counterclaim and third-party complaint "would be objectively frivolous, and would appear to be a procedural delay tactic, but for the fact that the Commission concluded that it would not be futile

to allow OOCL to amend its counterclaim (and, by logical extension, its third-party complaint).” (Order at 15).

However, nothing in the Commission’s July 30, 2025 Order immunized OOCL against a finding of frivolousness for OOCL’s multiple objectively unreasonable filings. The Commission’s July 30 Order affirmed the dismissal of OOCL’s Counterclaim and clearly expressed skepticism that OOCL’s stated theory could state a plausible claim, both as pled in the Counterclaim and as argued in OOCL’s opposition to the motion to dismiss. The Commission granted OOCL leave to amend “to attempt to state a plausible claim,” (Doc. No. 66 at 20) pursuant to the well-established federal principle that leave to amend should be freely given when justice requires, and based on OOCL’s representation that it had related allegations that it had not included in its original Counterclaim. Yet the Commission also called OOCL’s attention to the requirements for a claim under section 41102(a), and cautioned that “it is not evident that the additional conduct OOCL has described would present a plausible claim under section 41102(a).” (Doc. No. 66 at 20-21).

Nothing in the regulations or the Commission’s Statement on Attorney Fees suggests that allowing a party leave to amend a pleading immunizes such a party against the imposition of attorneys’ fees, or renders the opposing party ineligible or not entitled to receive attorney fees. Rather, entitlement to attorney fees is to be determined as outlined in the Commission’s Policy Stmt., as summarized above.

The Commission has previously found that parties that have failed to substantiate the legal and factual components of their case, bring unsupported claims as a litigation strategy, knowingly disregard Presiding Officer orders, abandon their claims, force multiple respondents to expend significant resources of both time and money in their defense, and fail to terminate their claims when doing so could have limited the expense of the Respondents, despite ample opportunity to

withdraw such claims, are in fact the most prime candidates against whom attorney fee awards should be imposed.<sup>3</sup>

**D. An award of attorneys' fees would be consistent with federal court practice**

Because of the limited precedents under the Shipping Act's attorneys' fee statute and the Commission's corresponding regulations, the Commission may find reference to practice under the Federal Rule of Civil Procedure 11 to be helpful. Notably, an award of fees in this matter would also be consistent with Fed.R.Civ.P. Rule 11 practice in the federal district courts.

For example, in the analogous case of *Chris & Todd, Inc. v. Arkansas Dep't of Fin. & Admin.*, 125 F.R.D. 491, 495 (E.D. Ark. 1989), the court denied defendant's motion to dismiss a first amended complaint, but stated that while inclined to dismiss the complaint, the court would allow the plaintiff an opportunity to file a second amended complaint. In its order on the motion, the court stated, "[t]he Court is not suggesting that an adequate amended complaint can be filed in accordance with the good faith requirements of Rule 11, Fed.R.Civ.P., but in fairness, it will provide the opportunity." *Id.* at 492. The second amended complaint pressed the same contentions

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<sup>3</sup> *Statement of the Commission on Attorney Fees*, Dkt. 21-14, (FMC, Dec. 28, 2021); *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC et. al.* Dkt. No. 14-04, 2016 WL 5110081, at \*5 (FMC, Sept. 14, 2016) ("In this matter, the Complainant failed to substantiate the legal and factual components of its case, knowingly disregarded the ALJ's orders on numerous occasions, abandoned its claim, forced multiple Respondents to expend significant resources of both time and money in their defense and, perhaps most egregiously, failed to terminate the claim when it could have limited the expense of the Respondents... We believe that deterring complainants from failing to prosecute their claims by awarding respondents attorney fees furthers the purposes of the Shipping Act."); *Bakerly, LLC, v. Seafrigo USA, Inc.*, Dkt. 22-17, 2026 WL 254020, at \*6 (FMC, Jan. 22, 2026) ("If a complainant's claims were frivolous, had no plausible legal or factual basis, or were not supported colorable arguments, that weighs in favor of awarding legal fees to the respondent... Filing claims for improper reasons also weighs in favor of granting the fee petition... 'Knowingly gambling' on implausible claims to gain some advantage over the opposing party is another example.")

as those previously rejected by the court, leading the court to award sanctions under Rule 11. *Id.* at 496.

Similarly, in *Royce v. Michael R. Needle, P.C.*, 158 F. Supp. 3d 708 (N.D. Ill. 2016), *opinion amended and supplemented sub nom. Royce v. Needle*, No. 15 C 259, 2016 WL 398182 (N.D. Ill. Feb. 2, 2016), also analogous to the matter here, counsel for the defendant had brought a counterclaim with serious deficiencies, leading the judge to caution that “I for one have not had any notion of how it is that [the counsel] can make the arguments in the good faith that is required by Rule 11(b),” but he nonetheless granted leave to amend. The amended counterclaim supplemented its earlier narrative with a new allegation, equally unsupported. *Id.* at 716. The counsel argued that he should not be sanctioned for the original counterclaims dismissed by the court because he had filed a motion to amend. The court agreed that while a sanctions motion cannot be brought if the challenged paper was withdrawn, “it cannot seriously be suggested that a challenged claim is immune from sanctions if the paper in which it is advanced is replaced by a second paper that re-advances that same claim.” *Id.* at 723. The court went on to state that it was unable to find a case which supported the “contraintuitive position that a motion to reassert frivolous claims should shield a party from sanctions” *Id.* at 724.

Federal courts likewise grant sanctions under Rule 11 when counterclaims are brought for an improper purpose. In *Fischer v. Samuel Montagu, Inc.*, 125 F.R.D. 391 (S.D.N.Y.), *amended*, 131 F.R.D. 379 (S.D.N.Y. 1989), in response to a contractual dispute over \$250,000, defendant filed a counterclaim for \$233,485.27 and then dropped the counterclaim 10 days before trial. The court outlined the grounds for Rule 11 sanctions<sup>4</sup> and found that sanctions were warranted for the

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<sup>4</sup> *Fischer v. Samuel Montagu, Inc.*, 125 F.R.D. 391, 393 (S.D.N.Y.), *amended*, 131 F.R.D. 379 (S.D.N.Y. 1989) (stating that there are two grounds for Rule 11 sanctions, the “frivolous clause” and the “improper purpose clause”, where the improper purpose clause “provides that a motion,

frivolous counterclaim brought without a basis in fact and apparently interposed solely to obstruct plaintiff's efforts to recover funds. *Id.* at 394.

The court in *Grynberg v. Ivanhoe Energy, Inc.*, 663 F. Supp. 2d 1022 (D. Colo. 2009) put a similar point succinctly: "filing of the Amended [pleading] does not cure their violation of Rule 11." *Id.* at 1026.

Thus, in the context of Rule 11 sanction motions, subsequent amended filings do not shield an original filing from sanctions. Here, both OOCL's Counterclaim and AMCC lacked a legal and factual basis and put forward the same dismissed claim, reinforcing the prudence of granting SEA's Petition.

In short, a routine procedural safeguard, such as leave to amend, cannot be used as a shield against otherwise well-justified fee liability. The wrongful act of bringing a frivolous counterclaim is itself sanctionable – to do so twice is even more so. To deny SEA's Petition for Attorney Fees because OOCL was given an opportunity to attempt to state a plausible claim would undermine the deterrent purposes of fee awards and would open the floodgates for respondents to file baseless counterclaims against complainants who bring valid and supportable claims in good-faith before the Commission.

**E. An award of fees is appropriate to deter OOCL's litigation abuse**

SEA noted in its Fee Petition that "OOCL's fundamental aim was to pressure SEA into abandoning or compromising its claims, rather than as a genuinely distinct Shipping Act claim supported by Commission precedent," and therefore a fee award would discourage Respondents

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pleading, or other document may not be interposed for purposes of delay, harassment, or increasing the costs of litigation. The frivolous clause of Rule 11 has two subparts: whether the party or attorney has made a reasonable inquiry into the facts, and whether the party or attorney has a made a reasonable inquiry into the law.")

from abusing the Commission's forum and using counterclaims as a way to prevent the bringing of good-faith Shipping Act complaints (Doc. No. 108 at 9-10). Accordingly, deterrence is necessary, both for OOCL, and for future respondents seeking to delay proceedings or engage in other forms of litigation misconduct.

By the time OOCL filed the AMCC, it had the benefit of (1) Judge Chintella's dismissal order; (2) the Commission's affirmance of that dismissal; (3) the Commission's explicit skepticism that OOCL's theory, as articulated, could satisfy 46 U.S.C. § 41102(a); and (4) a clear roadmap identifying the type of fraud or concealment allegations required to state a plausible claim under Commission precedent. Despite this guidance, OOCL could not or just did not, file a verified AMCC with new factual allegations of the kind the Commission identified as necessary, thus failing to allege an unjust or unfair device in kind to those explicitly stated in 46 U.S.C § 41102(a). OOCL merely repackaged its original theory after the Commission had held that theory worthy of dismissal.

Judge Ambrow flagged OOCL's expressly-stated intent to continue appealing and causing delay as raising a potential dilatory motive and separately noted concerns about OOCL's misrepresentations of the completeness of its discovery production. (Order at 13).

Five separate adjudicators assessed OOCL's § 41102(a) theory. Judge Chintella found the original counterclaim unsupported by law; Commissioners Dye, Maffei, and Vekich affirmed, finding it lacked legal authority and that even OOCL's briefed allegations likely could not state a plausible claim. Judge Ambrow found the AMCC suffered from "the same fundamental problems" as the original. A party that signals an intent to prolong proceedings under a theory found legally deficient and rejected at every level of review, particularly after the asserting party received an explicit roadmap for curing its defects, makes clear that further deterrence, for both OOCL and

further Respondents contemplating using counterclaims as a tactic, weighs heavily in favor of a fee award for SEA.

**F. SEA Should be Made Whole**

Further consideration should be given to the factor of compensation. SEA is seeking reparations for approximately \$12.5 million in detention, demurrages, and related charges incurred over a three-year period. When SEA took the step of filing a petition before the Commission for relief, OOCL utilized its counterclaim tactic to exact pressure and cause more fees and costs to be expended, not just by SEA, but also by Third-Party Respondent Samsung Electronics Co., Ltd. The shipping public should not be chilled from asserting valid and legitimate Shipping Act claims by the assertion of objectively baseless counterclaims by foreign-controlled carriers.

Respondents' allegations had to be taken seriously, and SEA's counsel was compelled to set aside work prosecuting its case in chief to defend SEA against OOCL's outlandish and unsupported theories. SEA cannot be made whole for the additional time and efforts expended as a company in responding to the OOCL's conspiracy theories, but it should be made whole for the counsel fees incurred in investigation and defending against the "objectively frivolous" counterclaim allegations.

**G. An award of fees is consistent with the purposes of the Shipping Act**

The Commission has noted that "[t]he primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act." Policy Stmt. at 3 (internal quotes omitted). Awarding fees in this instance advances the Shipping Act's purpose of promoting a fair forum for resolving disputes and an efficient, competitive, and economical transportation system for U.S. ocean commerce by punishing the filing of legally and

factually deficient claims.<sup>5</sup> Because pleadings filed for the apparent purpose of discouraging facially valid claims of Shipping Act violations from being brought to the Commission for adjudication – as OOCL did here – goes to the very heart of the Commission’s means of enforcing compliance with the Shipping Act, failing to award fees would invite other respondents facing claims to try similar tactics on the belief that such behavior would be tolerated by the Commission. Thus, an award for the full measure of SEA’s attorney fees in this matter would be most consistent with the purposes of the Shipping Act.

## **V. CONCLUSION**

For the foregoing reasons, SEA respectfully requests that the Commission:

1. Amend the Order and find that SEA is entitled to an award of reasonable attorneys' fees in connection with OOCL's Counterclaim, OOCL's Appeal of the Dismissal of its Counterclaim, OOCL's Amended Counterclaim, and SEA’s Petition for Attorney Fees;
2. Grant SEA's Motion to Supplement and consider the supplemental fee documentation in determining the amount of the award;
3. Award SEA reasonable attorneys’ fees in the total amount of \$158,715.00; and
4. Grant such other and further relief as the Commission deems just and proper.

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<sup>5</sup> Final Rule, 81 Fed. Reg. 10508, 10509; *Policy Stmt.*, 3-4; 46 U.S.C. § 40101

Dated: April 13, 2026

Respectfully Submitted,

**MILLS BLACK LLP**

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## **CERTIFICATE OF SERVICE**

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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